

US Vacation Property Rental Management Space & Airbnb – Managing Director at a US-based Full-service Short-term Rental Management Firm

Competitor | 2 June 2026

Expert background

- Over 15 years' experience in the US vacation rental management space, with deep insights into contracting, management fees and OTA (online travel agency) impacts
- Knowledgeable on criteria used for assessing market attractiveness and take rate trends among short-term VRMs (vacation rental managers), as well as Airbnb's positioning and technology distribution strategies
- Well-placed to discuss and compare ADR (average daily rate) trends, key customer segments, M&A activity, and risks, as well as online platforms' pros and cons
- Strong understanding of how property managers think about subscription vs pay-per-booking, and key competitors in the US vacation rental management space, as well as their relative market share and positioning

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Transcription begins

Q1: We are researching the US vacation property management space. We acquire companies in the USD 2m-5m is probably the sweet spot. We're willing to go as low as USD 1m EBITDA to USD 2m-5m EBITDA. We deploy a buy-and-build model. We'll exit in seven years or so to a larger fund. The goal is to reach USD 20m-30m EBITDA before we exit. Is that approach feasible in this industry? Can you see a world in which there are enough USD 2m EBITDA companies available in the US for acquisition to reach USD 20m-30m EBITDA in 5-7 years?

Expert: Yes. It somewhat depends on what multiple you're talking about at this point and also how you're sourcing your deals. There's been a lot of recent activity that's come into the sector through private equity, the largest being recently Alpine purchased a company called TowneBank. You can Google that situation. A little over one year ago, Ares purchased a company called Awayday. You've had some new money that's entered the industry. All of that new money is following the same thesis of what you've laid out is that large platforms in this space are selling between 13-15x EBITDA and smaller companies are selling between 3-7x EBITDA. If you can roll them up and synergise them, obviously, you can eventually sell the platform, which is what LightBay did. LightBay is a company that sold Awayday to Ares back in May 2025.

Client: There's like a lot of capital coming into the space. We have found that aside from the basics of an industry risk profile, the best determinant of whether we can successfully enter the space is how many companies are out there, how reasonable the multiples are and how much market share is left for acquisition.

Q2: What has driven an uptick in interest in the space? When did that start? Have you seen multiples go up significantly? When did this interest come into this industry in recent decades? Is this something that's been going on for multiple decades? Is this something that's happening post-pandemic? What is driving that?

Expert: Well, so the industry has gone through a couple of different evolutions. The biggest one started maybe in 2017, when you had companies like TurnKey and Vacasa who were being funded as technology plays. They were property management companies that had supposedly proprietary technology that would give them some massive competitive advantage. Well, eventually, Vacasa went public to SPAC and merged with TurnKey and became a publicly traded company.

There's tons of articles on what happened to Vacasa. It was a disaster. It was publicly traded. You can read all about it. That was really bad, and that really didn't yield a good return for shareholders. Wyndham came into the space 20 years ago, bought some companies, flipped it to Vacasa. TowneBank is a publicly traded bank that came into the space, bought early, sold to Alpine in April for USD 250m. Then you've had some private equity companies that have quietly entered the space like Monarch, Stanwich Lane (ph) who have been acquiring companies over the last 4-5 years. Then

obviously, more recently, Ares purchased Awayday and Alpine purchased TowneBank.

Client: You've had some big players show interest in the space or really start acquiring in the space. Even with the potential failure that occurred, that interest has basically driven up multiples. I assume that's attenuated the TAM per acquirer because the more acquisitive acquirers you have, the more companies they take off the market, the potential sub-market size for acquisition gets smaller. Is that right?

Expert: Well, yes. I mean, basically, there's been a couple of waves that have occurred where private equity has come in and then private equity has left and the private equity has come back in. Today, we're in a situation where private equity seems to be coming back in.

Q3: How sensitive are these companies to economic cycles? I would have thought that the vacation space is very cyclical. If the economy crashes, these companies see significant revenue declines.

Expert: Vacation rentals operate on the value side of leisure travel, and they've actually been fairly resilient to economic downturns. It's not to say they have been immune because they're on the value side, have you ever been in a vacation rental?

Client: Yes, like an Airbnb.

Expert: Right. You know there's a kitchen, a living room. If you have a large group, you can put like six, seven, eight people on the property and split the cost. It can become very affordable. Especially if you cook your meals at home. It's really on the value side.

Client: What you're saying is that it benefits because people can't afford hotels.

Expert: Yes. Right now, I'd say most of the industry is doing extremely well in 2026 for reasons like the cost of air has gotten more expensive. Cost of international has gotten more expensive and people still want to go on vacations. They just want to go on something that's affordable.

Q4: Can you walk me through how a vacation management company or vacation property management company makes money? What are the main revenue buckets, and how is it priced?

Expert: Yes. There's basically a couple of different factors. You have a pie, which is the rent. Then the property management company gets a commission off the rent, which it shares with the homeowner. Typically, that's going to be anywhere from 20-25%, which means the homeowner keeps 75-80%. Then there's the fees, which the property management is going to keep 100%. Those fees include housekeeping, damage waiver, booking fee, items like that.

Q5: Are you beholden to the price or the per-night price of the property, as you might make a percentage of that price in recovering inflation? Have you seen the management rates change over time?

Expert: Well, the management rate has been more or less stable. It's gone down a little bit since 2018 when Vacasa and TurnKey started to have competition on fees. For the most part, what drives revenue is the combination of ADR and occupancy. It is possible to improve revenue through higher occupancy, not just all ADR. If you can manipulate occupancy and ADR, you can improve the occupancy.

Q6: What percentage market share do these larger players have? If you were to put together

the market share of the publicly traded plus PE-backed skilled players vs the market share of everyone else, it could be available for acquisition. What would that breakdown be?

Expert: Well, if you take all the private equity roll-up companies, keep in mind, there's nothing public anymore. You're probably at about 10% of the overall market share.

Client: Does that include any scale players?

Expert: Yes, that's everything. It's a hyper-fragmented market.

Q7: How many companies might be available for acquisition? In particular, companies that might meet that USD 2m EBITDA minimum.

Expert: Well, I'd say here's the math. There's some probably two million vacation rentals that are professionally managed and the average company manages about 100 of them. It's a pretty big universe. I'm coming up with about 20,000 potential companies. The biggest challenge that private equity faces is access to those because you have to build a database, you have to build an M&A team. If you try to do this based on using brokers that are established in the industry, you're going to be competing with other private equities for the same deal. Those deals can get very expensive.

Client: There are quite a few companies with more than USD 2m EBITDA. Those companies are available for acquisition in the vast majority of the market. In terms of revenue, they represent 90%-ish of the market. We have runway to acquire, right? You don't seem to think the space is cyclical.

Q8: Were you in the industry during the financial crisis? What decline peak to trough did you see at the time in the industry?

Expert: Yes. We saw some ADR decline, particularly in 2009-10, but we were able to make up for it by improving occupancy. Then there was a lot of quote, unquote, organic opportunity because some property management companies did go out of business, so we picked them up. That was a time that if you use technology, you were able to get improvements both on the revenue side and on the cost side. It was the beginning of hosted systems.

Client: Is this an industry where one could build a platform that spans vacation vs other kinds of property management, like single-family home or multifamily or commercial? Is this too different? I haven't seen a lot of companies that spend multiple types of these. Well, I have seen lots that do multifamily and commercial or multifamily and property in single-family. I just haven't seen a lot that do vacation on the other ones.

Expert: In general, some of that stuff is very different and requires different technology, different skill set. The one thing that's similar is what I'd call condo association that self-manages vacation rentals. There is particularly in places like Florida, some significant inventory that's captured by a condo association.

Q9: Is a condo association similar to an HOA [homeowners association]?

Expert: Right. HOA is a homeowner association, COA is a condo owner association. In quite a number of condos in Florida, the owner of the property has to stay with the designated condo association rental company. That rental company could be on site. It generally is on site, I'm sorry. They typically have like a little front desk and then they manage these properties in the condo association. It's like a captive market. In order to get it, you have to get the condo association, but those condo associations are really poorly managed on the rental programme.

There's probably an opportunity to gain some scale on the condo association side. I think there's quite a bit of research out there. I think in the state of Florida, 60% of all properties are in either a condo association or a homeowner

association. It's a massive number. There's not a lot of sophistication in the condo association market. If you had a vacation rental company, which is operating as a platform and being valued at 15x multiple when you could buy these condo associations and then take the vacation rentals and move them over to the property management side. It seems like a obvious way to gain quite a bit of arbitrage.

Q10: We didn't talk much about Airbnb. I understand that its model is different from a property management company because it isn't doing property management. It's a digital marketplace. In what ways has the digital marketplace impacted the space for property management companies?

Expert: If we're talking technology, I mean, there's operational technology and then there's revenue technology, which would be what you call distribution. Distribution is basically the OTAs, online travel agencies, Airbnb being one, Expedia, Vrbo being another, Booking.com being a third.

Client: Does Airbnb offer any of these services such as partnering with a local management company? Does Airbnb present any potential competition?

Expert: No, none, they're a partner. They're 100% a partner, not a competitor. Airbnb is a transactional marketplace.

Q11: If I list my property at an ADR [average daily rate] of USD 100, USD 15 of that is going to Airbnb. How much of that is going toward a vacation management company if I have one hired?

Expert: Well, again, I mean, vacation rental management company is going to get anywhere from 20-25% from a vacation rental of the rental income.

Client: Does that include cleaning costs, or is that the fee that goes to that company? On top of that, we'll be paying for cleaning and additional stuff, right?

Expert: Well, that's the management fee, and then the cleaning is paid by the guest.

Client: That's really just a management fee because anything beyond is charged separately? Like whether it's like a deposit or if there's a maintenance issue, that's all separate from that maintenance fee that we're paying the property management company.

Expert: Correct.

Q12: If Airbnb decides it wants to charge 20% instead of 15%, if they decide to raise their rates, do you foresee that property owners will demand to make that up by paying the property management company less?

Expert: Well, Airbnb isn't concerned about paying a management company less or a management company being charged more. I think they're more concerned with getting as many bookings as possible on their platform. They're looking for loyalty.

Client: That has to do with a larger player in the market, having significant market power. Is this a zero-sum game? If Airbnb or other tech transaction platforms raise their rates, does that potentially imply pricing pressure for the property management company? Will the owner say, "Well, I can only charge USD 100 for my guest. If Airbnb is charging me USD 20 instead of USD 15, maybe now I want to pay you USD 20 instead of USD 25."

Expert: I mean if we're talking about Airbnb on the distribution side, they're competing with Booking.com and Vrbo.

They have to be supplier-friendly. If they're not, then as a vacation rental company, you would allocate your inventory to Vrbo or Booking.com. In other words, Airbnb doesn't control the marketplace. They just don't have the dominance that you are indicating which would allow them to do more ruthless stuff. They literally don't have it.

Booking.com, which is the largest in the world, they're huge in Europe, and they've just started to enter the US and they've slowly picked up market share. Booking.com has gained a pretty significant foothold. Then you have Expedia. Then you have Vrbo, which I know is owned by Expedia. They've been a dominant player in the industry basically since they were founded 20 years ago, and obviously, they went public and then they sold to Expedia.

Q13: Do distributors care about having exclusivity? Lower fees if you only work with Airbnb vs Vrbo, etc?

Expert: Well, in a perfect world, I'm sure they would like exclusivity. I mean that was the premise of Airbnb back when they started that suppliers would stay on Airbnb and they wouldn't market anywhere else. A lot of their metrics were based on the amount of supply they had that Expedia or Booking.com didn't. That's changed. Airbnb has lost some of that exclusivity just because the marketplace has gotten so much more competitive. Now, as these companies have to compete for supply, they're coming up with different ways to gain that supply in the form of programmes and incentives. I think your premise is that it's somehow an OTA market. It's not. I mean the ones who have the power in this market are the property managers because the OTAs have to have the supply. These suppliers over the last three years are coming up with rebates.

The rebates are a premise where if you hit certain revenue targets, how much revenue you book on the platform, you'll get a rebate. They've allowed your ability to spend your way to a better placement. There's a host of things they've rolled out where they're working with larger suppliers to basically keep more supply within the marketplace. Vrbo has been the most aggressive by far. There's a lot happening. Airbnb definitely has their backs against the wall.

Q14: OTAs [online travel agencies] don't necessarily have a ton of supplier power, and customers certainly don't have a ton of market power. It's a fragmented customer landscape. What's the catch in this industry? What are the things that you are concerned about?

Expert: Well, I'd say we've seen a share of initially players who were PE funded who came in and really created a mess on the owner acquisition side, in particular, just because they were being funded on revenue growth, not EBITDA growth. They, at one point, almost had unlimited money. Vacasa is clearly the one. They were literally trying to steal properties from companies like VTrips and others. Now that has gone away, but in its place. Like this Ares, they're coming up with, in some cases, programmes for the first year, your commission is 0%, you go with them. If granted, it goes up after that. Now you have to compete against that nonsense. You've got to make sure you really watch your attrition, which is your supply because obviously, if it goes negative, that's bad.

I do think there's a pretty significant opportunity for private equity, but it's going to have to be private equity that's thoughtful as they enter this market. There's been some private equity that's come in and just think they can throw in a bunch of MBAs and there'll be good things that will happen, and I've never seen that to be true. This is an industry where you really need extremely thoughtful decisions around leadership, around checks and balances and particularly if a private equity company is being aggressive with their timelines, you're going to need some type of chokehold key employees who can say no about bad decisions.

Client: Let's talk about customer retention. In particular, the relationship between the property management company, the vacation management company and the owner. What is the typical retention that you see YoY in the space percentage and gross retention?

Expert: It's between 80-85%.

Q15: What keeps the property owner with the management company, and what makes them decide to leave?

Client: We've done similar diligence in other property management spaces. I have to say that for vacation, it sounds to me like the easiest one for you to switch providers. If you own a multifamily building or a single-family house and you rent them out, you're somewhat concerned about continuity for the tenant. Like the tenant, you don't want to keep switching all the time. The tenant sees that. It's that visibility, that impression, but it could also disrupt some services. For vacation rental, that's not a concern. I assume you don't have a guest for longer than a few weeks at most. It would be much easier. You could switch and your new guests will never know that you just switched. What are your thoughts?

Expert: Well, most contracts in this industry are one year, and they require 90-day notice. There is exclusivity. Most owners understand the contract status. Some of the contract statuses are validated by state law. It's just not so simple to terminate a contract. Now granted, there are some companies that go with month-to-month contracts, which then you're right, you could leave after one month or after 90 days. That's just not good business. The (1) reason why an owner would leave would be the sale of their property. The (2) reason would be revenue and the (3) reason would be operational concerns, housekeeping, maintenance.

Q16: What are the top three things that make you switch if you're a property owner and you hire a property management company, and you're going to go with a different provider?

Expert: It's typically revenue is the first reason. Yes, it would be revenue. They're not hitting your revenue goals.

Client: If you have a property on Fifth Avenue in New York, do these companies promise that you could rent it out for 22 days of the month and get to this? Is that how it works?

Expert: Yes. Although it would be somewhat like they would give you a range. The range would be, "Hey, we think your property can do between USD 80,000 and USD 100,000 per year." You may have a property right now that's only going to do USD 60,000 per year. In your mind, you think, "Okay, I want to do better." You make the switch and you're going to have to give them at least one year to see how they've done. In general, you're going to see how things have gone. Yes, I mean, revenue is the number one reason.

Client: Are there any other reasons that come to mind?

Expert: Well, another one is really operations. Operations would be the maintenance of your property, your housekeeping and if the property management company is just neglecting your property, you may decide, "Hey, I'm getting rid of them. I'll find someone else."

Q17: What happens if you're a property management company and the contract is up? Do contracts have any price escalation clauses? Is that price typically for the rate? I'm talking about the rate that the management company makes. Is there any escalation on that? Is it fixed for the term of the contract?

Expert: I mean, it's typically a flat fee. Homeowners can try to renegotiate it on the anniversary of the property, they typically don't if you're doing a good job. The general rule is if you're doing a good job, most owners are going to stay with you.

Client: If you try to raise that price at the end of the contract, I suppose you will try to raise your fee by 10% of the previous fee. Do you expect that that would lead to churn?

Expert: Yes, there would be a lot of pushback. Look, you're better off playing the take rate. We haven't really talked about take rate, but that's where you can really make your margins is on the take rate.

Client: What is the take rate?

Expert: Well, it's the amount of money that you generate from the rental of the property. Typically, the average property manager, their take rate is about 30%. The average platform is about 40%.

Q18: Can you quantify the pricing decline in management fees? How much has pricing declined on average over the last five years?

Expert: It's been gradual. I don't think there's any industry statistics. Maybe you could look at Vacasa, some of their annual reports and their IPO. There's been a slight decline. I just don't have an answer specific how much that is.

Client: Is that something that's been going on for like the last decade, or is it just the last five years?

Expert: Basically, the last decade since you've had private equity and some private equity has wanted to create incentives like lower commissions to try to gain market share.

Client: When PE enters the space, we see rapid price growth, precisely because of an aggressive pricing strategy. In this industry, it's been different for your experience. PE has been aggressive in lowering prices and trying to gain market share. It hasn't worked for your point.

Expert: No, it hasn't.

Q19: Aside from price, what is the value of a PE firm entering the space and of acquiring? What is it that it can do?

Expert: Well, private equity has access to resources, which typically even large platforms don't have. Those resources can be very helpful, like building databases, which is something if you're going to, again, do M&A, building a database of targets is critical. I'd say also being able to measure the underlying value of an asset you're looking to purchase both from the initial acquisition to what are the synergies that could be unlocked. That's helpful. There's certainly going to be some gains with AI on some of the operational revenue management and some of the tier 1 customer service.

You're going to gain from these little mom-and-pop companies that you acquire, you're going to gain operational synergies. Then I think sophistication of revenue management, I do think private equity understands it. You have to be diligent at tracking and monitoring it on a weekly basis and holding your revenue management team to goals so that they don't effectively reduce the take rate to try to drive revenue, which a short-term benefit, but long term really hurt you. That's the discipline you need and private equity in theory, could be good at that.

Client: If we were to acquire a company in that USD 2m-5m EBITDA range, what should we expect to pay? What should we expect to bid if on average? I understand it's going to vary based on company quality, but profitable companies, reasonable growth and reasonable market exposure? What should we expect to pay?

Expert: I mean you're going to pay anywhere from 3x-7x the EBITDA.

Q20: If we're able to pull together USD 20m-ish EBITDA plus via buy-and-build, is it credible that we'd be able to expand those multiples? Where would we go?

Expert: Well, if you can credibly indicate that you're a platform, yes, you would get the multiple platforms. What most private equity companies have done is come in and purchased a platform and pay a decent amount of multiple for the platform. Then they expand and buy a bunch of these smaller companies and load them into the platform. Your USD 20m of EBITDA for USD 100m of cash. Your platform is worth, well, right now, about 15x. That's one thing. These deals don't require 100% cash. A lot of these deals, you can pay two-thirds upfront, you can pay on the back end, which you can use the seller's payout to pay them that type of stuff. You can be creative in terms of how you structure these deals.

Client: If we make it to USD 20m EBITDA, what is the multiple range?

Expert: Platforms are going to 13.5-15.5x EBITDA.

Q21: What if we were to go smaller on companies smaller than USD 2m EBITDA? If we wanted to deploy a micro-cap, would those go for any less than what you had mentioned, the USD 2m-5m companies do?

Expert: Yes, there's real opportunity on the micro deals. Some people would call them distressed inventory, whatever. You can get those deals anywhere from 1-3x. They're messy. They don't have a P&L, and so you're having to recreate P&Ls. You're not probably going to be able to use the bank to finance these deals. You may have to do it as a contract purchase where you come up with a price based on the number of contracts they have. I mean effectively, these are deals where the seller is showing no profit, zero, like they're potentially going to go out of business in the off-season. They're distressed, motivated because they don't want to do that. They want to get something.

You come in and you maybe pay them 50% upfront and the rest over time. Those deals are effective in particular, in areas where you have an existing book of business and you can just roll those contracts in. They're effectively just contract purchases. The contracts have the revenue and maybe the key employee you bring with it helps bridge. Those deals are highly effective, very, very accretive. The biggest problem with them is it's just hard. You've got to do a lot of field work to find them.

Transcription ends

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